

Cash advances on a credit card come with a price tag—very high interest rates and fees. This feature is for the true emergency, not for buying nonessentials such as eating out, paying your regular bills, or entertainment or vacations. Grace periods don't apply to cash advances, so you pay interest from the day you get the cash. There's also usually a transaction fee of anywhere between 2 and 3 percent of the cash advance total. To add insult to injury, the interest rate on cash advances is significantly higher than the rate on purchases. All in all, your cash advance can end up costing you a bundle of money.



Visa cardholders take out a staggering \$100 billion a year in cash advances. At an average up-front fee of 3 percent, cash advances are generating \$3 billion a year to Visa in this type of fee alone.
